ECONOMIC SURVEYS BY THE OECD

NOVEMBER 1961

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT
PARIS

BASIC STATISTICS

THE LAND

Area - Continental United States plus Hawaii and Alaska (thousand sq. km.)	9,251

Major cities, including their metropolitan areas (1950):

New York	12,912,000 inh.
Chicago	5,495,000 inh.
Los Angeles	4,368,000 inh.

THE PEOPLE

Population (September 1961)	184,200,000
Number of inhabitants per sq. km.	20
Population, annual net natural increase (average 1955-59)	2,626,000
Net rate of annual increase per 1,000 inhab. (average 1955-59)	14
Labour force, including armed forces (Sept. 1961)	73,670,000
Of which: employed in agriculture (Sept. 1961)	5,666,000
Net civilian immigration (annual average 1955-59)	283,000

PRODUCTION

Gross national product in 1960 (billions of U.S. dollars)	504.4
G.N.P. per head (U.S.$)	2,792
Gross fixed capital formation:	
— per cent of G.N.P. (average 1956-60)	14 %
— per head (U.S. $) (average 1956-60)	366

Origin of national income in 1960:

Agriculture, forestry and fishing	4 %
Manufacturing	29 %
Construction	5 %
Other	62 %

THE GOVERNMENT

Public consumption, 1960 (per cent of G.N.P.)	20 %
Public construction activity, 1960 (per cent of G.N.P.)	3 %
Current revenue of Federal, state and local governments, 1960 (per cent of G.N.P.)	29 %
Federal Government debt, 31st August 1961 (ratio to Federal Government revenue)	303 %

Composition of 86th Congress 1959:

	House of Representatives	Senate
Democrats	65 %	65 %
Republicans	35 %	53 %

LIVING STANDARDS

Calories per head per day, 1958	3,150
Consumption of energy per head, 1956 (OEEC average = 100)	311
Steel consumption per head, 1957 (OEEC average = 100)	232
Average hourly gross earnings in manufacturing (June 1961, U.S. dollars)	2.35
Number of passenger cars in use, 1957 (per 1,000 inhabitants)	328
Number of telephones in use, 1959 (per 1,000 inhabitants)	395

FOREIGN TRADE

Exports:

Exports of goods and services as per cent of G.N.P. (average 1956-60)	5.5 %
Main exports 1960 (per cent of total merchandise exports):	
Cotton	5 %
Grains	8 %
Automobiles	6 %
Chemicals	8 %
Machinery	21 %

Imports:

Imports of goods and services as per cent of G.N.P. (average 1956-60)	4.8 %
Main imports 1960 (per cent of total merchandise imports):	
Coffee	7 %
Non-ferrous ores, metals and manufactures	8 %
Newsprint	5 %
Petroleum and products	11 %

ECONOMIC SURVEYS BY THE OECD

UNITED STATES

1961

PUBLISHED BY
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The Organisation for Economic Co-operation and Development was set up under a Convention signed in Paris on 14th December 1960 by the Member countries of the Organisation for European Economic Co-operation and by Canada and the United States. This Convention provides that the O.E.C.D. shall promote policies designed:

- *to achieve the highest sustainable economic growth and employment and a rising standard of living in Member countries, while maintaining financial stability, and thus to contribute to the development of the world economy;*
- *to contribute to sound economic expansion in Member as well as non-member countries in the process of economic development;*
- *to contribute to the expansion of world trade on a multilateral, non-discriminatory basis in accordance with international obligations.*

The legal personality possessed by the Organisation for European Economic Co-operation continues in the O.E.C.D., which came into being on 30th September 1961.

The Members of O.E.C.D. are: Austria, Belgium, Canada, Denmark, France, the Federal Republic of Germany, Greece, Iceland, Ireland, Italy, Luxembourg, the Netherlands, Norway, Portugal, Spain, Sweden, Switzerland, Turkey, the United Kingdom and the United States.

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UNITED STATES

1. Economic activity recovered in March and has since been rising fast, because of the growth of final demand and the anticipation of further strengthening, which have led to considerable rebuilding of inventories. But unemployment and underutilisation of capacity remain high, leaving considerable scope for further expansion. Fiscal and monetary policies are aiming at a fuller use of existing resources without endangering price stability or the foreign balance. Prices have so far been generally stable and the basic foreign deficit* disappeared in the first half of 1961. The outflow of short-term funds, an important element in last year's large deficit, has tapered off, reflecting a narrowing of international interest rate differentials and growing confidence in the dollar. But the recent improvement was also strongly influenced by large extraordinary debt repayments and relatively low imports. While the external position is much better than in the last few years, it remains to be seen how the basic balance will develop when conditions of full employment are reached again.

I. CURRENT RECOVERY

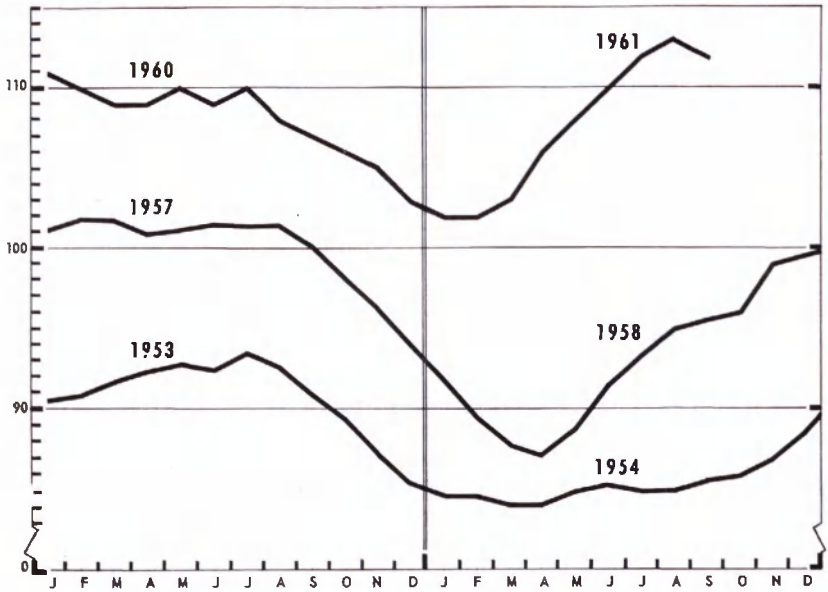
a) Output and Employment

2. The gross national product rose from a seasonally adjusted annual rate of about $500 billion in the first quarter, the trough of the recession, to $516 billion in the second, thus passing the pre-recession peak of $506 billion reached in the spring of 1960. With prices generally stable, the recovery reflected an advance in real terms. The upturn in industrial production has been rather sharper than in previous post-war recovery periods, and growing activity in other sectors, including construction and services, has contributed to the advance. Agricultural output, however, will probably be lower than in 1960; crop prospects as of 1 July pointed to a lower harvest than the record one of last year.

* The basic balance differs from the overall balance in that the former excludes short-term capital movements and unrecorded transactions (see Table 6).

Diagram 1. INDUSTRIAL PRODUCTION IN THREE RECESSIONS

1957 = 100



SOURCE : Survey of Current Business

3. Industrial production recovered in March and by July had risen by 10 per cent, thus regaining in five months the ground lost during the recession. There have been particularly sharp increases in output of steel and automobiles which previously had shown the sharpest declines, although by July most industrial sectors shared in the expansion. In manufacturing industries output per man-hour, seasonally adjusted, rose by about 2.5 per cent from the first to the second quarter; i.e. over one third of the rise in output. The rate of capacity utilisation, although rising in recent months, remains relatively low; a recent survey suggests that in July a sample of key industries was operating at only 80 per cent of capacity, compared with a preferred rate of 94 per cent.

4. Employment and hours worked have responded to the upturn in output. Average weekly hours worked by production workers in manufacturing, which had fallen to 38.6 in December, had by June 1961 risen to 40.1. But the number of workers on short-time has remained high; in June more than 3 million non-farm workers (about 4 per cent of the civilian labour force) were working less than 35 hours per week and were seeking more work. The number of employed has risen after February, following some decline since the middle of last year. But with a growing labour force, the unemployment ratio has not declined;

the seasonally adjusted figure in August remained at the post-war peak of almost 7 per cent reached during the last recession.

Table 1. INDUSTRIAL PRODUCTION INDICES

Seasonally adjusted, 1957 = 100

	MAY 1960 PRE-RECESSION LEVEL	FEBRUARY 1961 RECESSION LOW	3rd QTR 1961	SEPTEMBER 1961	PERCENTAGE CHANGES	
					MAY 1960 TO FEB. 1961	FEB. 1961 TO SEPTEMBER 1961
Total	110	102	112	112	- 7.3	+ 9.8
Durable manufactures ..	107	94	107	105	-12.1	+11.7
Non-durable manufactures ..	115	111	120	121	- 3.5	+ 9.0
Mining	97	96	98	98	- 1.0	+ 2.1
Utilities	122	125	133	135	+ 2.5	+ 8.0

SOURCE : Survey of Current Business.

b) Demand Factors

5. Accelerated Government spending has been the leading dynamic element in the revival of demand. A recovery in residential construction and the renewal of inventory accumulation have also been important expansionary factors. Private consumption recovered in the second quarter after a decline in the first, but has risen less fast than personal incomes or aggregate demand. Business expenditures for plant and equipment, which turned down in the summer of last year, changed little from the first to the second quarter. The sharp increase in net exports since the later months of 1959 was reversed in the spring of the present year, when exports fell.

Inventories

6. In the current recovery, as in earlier business cycles, inventory movements have played a major rôle; the turn-around from liquidation in the first quarter to accumulation in the second represented almost half the increase in seasonally adjusted aggregate demand in the spring quarter. The substantial reduction in retail inventories, notably of passenger cars, and of manufacturers' stocks of finished goods which occurred in the first quarter, has levelled out, and there has been an increase in factory working stocks. Nevertheless, with the strong re-

Table 2. GROSS NATIONAL PRODUCT AND EXPENDITURE

	BILLIONS OF CURRENT DOLLARS							PERCENTAGE CHANGE FROM A YEAR EARLIER				
				1960	1961			1960	1960	1961		
	1958	1959	1960	4th QTR	1st QTR	2nd QTR	3rd QTR	WHOLE YEAR	4th QTR	1st QTR	2nd QTR	3rd QTR
				SEASONALLY ADJUSTED ANNUAL RATES								
Gross national product	444.5	482.8	504.4	504.5	500.8	516.1	526.0	+4.5	+3.3	-0.1	+1.9	+4.1
Gross private domestic investment	56.6	72.4	72.4	65.6	59.8	68.8	73.0	0.0	-8.6	-24.2	-7.8	+3.5
Fixed investment	58.6	66.1	68.2	67.4	63.8	66.0	68.5	+3.2	+1.8	-6.2	-4.8	+0.6
- New construction	35.5	40.2	40.7	40.7	39.6	41.3	42.5	+1.2	+2.8	-3.2	+1.5	+5.2
- New producers' durable equipment	23.1	25.9	27.5	26.7	24.2	24.7	26.0	+6.2	+0.4	-10.7	-13.6	-6.1
Change in business inventories 1)	-2.0	6.3	4.2	-1.9	-4.0	2.8	4.5	(-2.1)	(-7.5)	(-14.9)	(-2.6)	(+2.1)
Net exports 1)	1.2	-0.7	3.0	5.1	5.3	3.9	2.5	(+3.7)	(+5.1)	(+3.5)	(+1.6)	(-0.5)
Government purchases of goods and services	93.5	97.1	100.1	101.6	105.0	107.3	108.5	+3.1	+5.3	+8.4	+7.7	+6.5
- Federal	52.6	53.5	52.9	53.0	54.7	56.6	56.9	-1.1	+0.2	+5.6	+7.0	+5.4
- State and Local	40.8	43.6	47.2	48.6	50.3	50.6	51.6	+8.3	+11.5	+11.8	+8.1	+7.5
Personal consumption	293.2	314.0	328.9	332.3	330.7	336.1	342.0	+4.7	+3.8	+2.1	+1.9	+3.7

1) The figures in brackets are absolute differences (in $ billion) between the rates of stock-building or net exports in each year or quarter and in the corresponding period a year earlier.

SOURCE : Economic Indicators.

vival in demand, the ratio of business inventories to sales has fallen after January - in line with previous cyclical performance.

Government spending

7. Government purchases of goods and services have risen strongly in 1961. The steady growth of State and local spending has continued and Federal expenditure has been accelerated. In the second quarter, Federal purchases of goods and services were about 7 per cent higher than a year earlier, with most of the increase concerning defence. The 1961-1962 budget points to a further important increase in Federal spending.

Housing

8. Housing starts, seasonally adjusted, recovered at the beginning of the present year, and expenditure for new residential construction rose sharply in the second quarter. But housing activity remains well below the pre-recession peak reached in 1959; by the end of 1960, after a decline during almost two years, housing starts had fallen to a seasonally adjusted rate of less than 1 million compared with a rate of 1.6 million achieved in April 1959. A relatively low rate of household formation, reflecting the low birth rates in the 1930's, the general recession of the economy and high mortgage rates contributed to last year's depressed housing activity. Although the availability of mortgage funds improved in 1960, the average decline in mortgage rates was moderate, less than 1/4 per cent. In 1961, various measures have been taken to stimulate residential construction. In February, interest rates were reduced for Federal Housing Administration insured mortgages and on loans for community facilities, and the Federal Home Loan Bank Board acted to add about $1 billion to the funds available for housing financing. New legislation enacted in June included provisions for more public house building, longer mortgage loans under the Federal Housing Administration, and subsidised housing for middle and lower income families.

Business Fixed Investment

9. Expenditure for new plant and equipment turned down in the summer of last year and remained depressed through the second quarter of 1961. The recent quarterly survey of the Securities and Exchange Commission and the Department of Commerce suggests that business capital outlays will recover in the third quarter and show a further increase in the final three months of the year, although the annual total is likely to fall short of actual 1960 expenditure by about 3 per cent. Other indicators also point to an early upturn in business fixed investment; corporate profits rose sharply in the second quarter, after having fallen since the spring of 1960; and the inflow of

Table 3. BUSINESS EXPENDITURE FOR NEW PLANT AND EQUIPMENT

Billions of dollars

	1959	1960	1961[1]	1960				1961			
				1st QTR	2nd QTR	3rd QTR	4th QTR	1st QTR	2nd QTR	3rd[1] QTR	4th[1] QTR
				SEASONALLY ADJUSTED ANNUAL RATES							
Total (excluding agriculture)	32.54	35.68	34.56	35.15	36.30	35.90	35.50	33.85	33.50	34.80	35.90
Manufacturing	12.07	14.48	13.80	14.10	14.70	14.65	14.40	13.75	13.50	13.75	14.20
Mining	0.99	0.99	0.99	1.00	1.05	1.00	0.90	0.95	1.00	0.95	1.05
Transport	2.94	2.97	2.51	3.00	3.25	2.90	2.80	2.45	2.50	2.65	2.40
Public utilities	5.67	5.68	5.75	5.75	5.70	5.60	5.70	5.35	5.50	5.95	6.05
Commercial and other	10.88	11.57	11.52	11.35	11.60	11.75	11.65	11.30	11.05	11.50	12.20

1) Estimates based on anticipated capital expenditures as reported by business in late July and August 1961.

SOURCES : Securities and Exchange Commission and Department of Commerce.

new orders to the machinery industry has shown an upward trend since February.

Table 4. CORPORATE PROFITS

(Seasonally adjusted annual rates)

Billions of dollars

	CORPORATE PROFITS 1) BEFORE TAX	CORPORATE PROFITS AFTER TAX	DIVIDENDS	UNDISTRIBUTED PROFITS	CORPORATE CAPITAL CONSUMPTION ALLOWANCES
1959					
1st Qtr ...	45.3	23.4	13.0	10.4	23.4
2nd Qtr ...	50.2	26.1	13.3	12.8	24.1
3rd Qtr ...	44.4	22.7	13.7	9.0	24.3
4th Qtr ...	45.5	22.7	13.8	8.9	24.8
1960					
1st Qtr ...	47.4	24.2	14.0	10.2	25.2
2nd Qtr ...	45.9	23.3	14.0	9.3	25.6
3rd Qtr ...	44.1	21.7	14.1	7.6	25.7
4th Qtr ...	42.9	21.4	14.3	7.2	26.1
1961					
1st Qtr ...	40.0	20.0	14.2	5.8	26.4
2nd Qtr ...	45.5	22.8	14.2	8.6	27.0
3rd Qtr ...	n.a.	n.a.	14.3	n.a.	27.2

1) Adjusted for inventory revaluation.

SOURCES : Survey of Current Business. Economic Indicators.

Consumption

10. Consumer spending held up well throughout 1960, but has been somewhat hesitant in 1961; on a seasonally adjusted basis it fell rather more than personal income in the first quarter and the revival of consumer expenditure in the spring fell short of the advance in incomes, with an increase in the savings ratio. In the first half of this year consumers reduced their outstanding instalment debt by over $800 million, although the May and June figures point to a renewed increase in consumer credit. The rise in private consumption in the second quarter was particularly sharp in durable goods, which had suffered most during the recession. Purchases of non-durable goods continued their steady but moderate advance. The services component of total private consumption rose to 41.6 per cent in the first half of 1961, continuing a trend which has persisted throughout the post-war period. Consumer surveys point to a further increase in consumption, although some hesitancy seems likely to remain; consumption, in relation to disposable income, has not varied significantly over the last year.

Net exports

11. Foreign trade was an expansionary influence in 1960. Net exports showed a further increase in the first quarter of the present year, but fell in the second as a result of lower exports. Imports declined last year, but changed little in the first half of 1961.

c) *Prices and Wages*

12. Prices have been generally stable over the past eighteen months; in 1960 the implicit price index for the gross national product was edging upwards, and there has been a further very slight increase in the current year. The wholesale price index changed little in the course of last year, and fell somewhat in the first half of 1961; in certain key export sectors such as machinery, metals and metal products, prices fell in 1960 and changed little in the first six months of this year, thus reversing the unfavourable trend of previous years. The consumer price index changed little in the first half of this year, but rose in July, largely because of higher food prices. The virtual stability of prices has obviously been assisted by the slack demand conditions prevailing in the past couple of years which have influenced both pricing policy and wage settlements.

Table 5. CHANGES IN UNITED STATES GOLD HOLDINGS AND IN LIQUID DOLLAR LIABILITIES TOWARD FOREIGN COUNTRIES

Millions of dollars

	TOTAL	GOLD	DOLLAR LIABILITIES
	(MINUS EQUALS GROWTH IN LIABILITIES)		
1953	-2,102	-1,161	-941
1954	-1,516	-298	-1,218
1955	-1,149	-41	-1,108
1956	-968	+306	-1,274
1957	+468	+798	-330
1958	-3,477	-2,275	-1,202
1959[1]	-3,897	-731	-3,166
1960	-3,832	-1,702	-2,130
1960 - 1st Quarter	-634	-50	-584
2nd Quarter	-831	-94	-737
3rd Quarter	-1,185	-637	-548
4th Quarter	-1,182	-921	-261
1961 - 1st Quarter	-409	-346	-63
2nd Quarter	+3	+330	-327

1) Excluding $1,375 million (of which $343.8 million in gold) transferred to the I.M.F. to increase the United States capital contribution.

SOURCE : Survey of Current Business.

13. Average hourly earnings in manufacturing (excluding overtime) rose by 2.7 per cent during 1960 - less than the 3.8 per cent recorded in 1959 - and changed little in the first half of 1961. With the recovery in activity being accompanied by more overtime work, gross hourly earnings have risen somewhat since the beginning of the year. In May, the Congress passed a bill to raise the Federal minimum wage from $1 to $1.15 in September 1961 and further to $1.25 in September 1963, and to extend its coverage to 3.6 million workers not previously protected. Under the steel agreement concluded in January 1960, which covered a period of 30 months, an increase in wages was due on October 1, amounting to 10.5 cents an hour (about 3 per cent). The recent settlements in the automobile industry cover a period of three years and provide for an average annual wage increase of about 3 per cent (excluding possible cost of living adjustments).

d) Foreign Trade and Payments

14. Following the large deficits incurred in the three previous years, the overall balance of payments deficit fell to a seasonally adjusted annual rate of $1.7 billion in the first half of 1961, excluding actual debt prepayments of $649 million and also excluding other adjustments for debt repayments in the second quarter amounting to $75 million. There was a decline in the outflow of short-term capital (including unrecorded transactions) which in the second half of 1960 amounted to more than $3 billion at an annual rate; the speculation against the dollar came to an end early this year, and the outflow of funds induced by interest rate differentials became more moderate, influenced by the decline in some European interest rates. The basic balance, excluding these capital movements, moved from a deficit of $1.4 billion in 1960* into virtual equilibrium in the first half of the present year, largely because of a higher merchandise surplus.

Merchandise Trade

15. The rise in exports continued in the first quarter of 1961, but was followed by some decline in the second. Exports of machinery and chemicals continued to rise in the first half of present year, and so did agricultural exports, partly because of higher shipments of grains under local currency sales programmes, although the increase in cotton exports was reversed in the second quarter. Exports of commercial aircraft, automobiles, steel and other metals have declined in 1961. Shipments to Europe, following the sharp advance in 1960, have levelled off in 1961 as the boom has become less intense there. Exports to Japan have risen further while those to Canada have remained

* Excluding major special capital transactions.

Table 6. BALANCE OF PAYMENTS[1)]

(Seasonally adjusted)

Millions of dollars

	1959	1960	1960				1961	
			1st QTR	2nd QTR	3rd QTR	4th QTR	1st QTR	2nd QTR
Merchandise exports	16,282	19,409	4,650	4,837	4,927	4,995	5,054	4,751
Merchandise imports	-15,294	-14,722	-3,785	-3,830	-3,674	-3,433	-3,394	-3,410
Trade balance	988	4,687	865	1,007	1,253	1,562	1,660	1,341
Services, net	2,293	2,334	542	553	525	714	692	753
Balance of goods and services	3,281	7,021	1,407	1,560	1,778	2,276	2,352	2,094
Military expenditure	-3,109	-3,048	-767	-756	-798	-727	-759	-748
Remittances and pensions	-791	-848	-198	-213	-207	-230	-210	-221
Government grants and capital outflows	-3,040	-3,381	-750	-843	-775	-1,013	-1,000	-850
U.S. private long-term capital	-2,298	-2,544	-538	-527	-551	-928	-480	-700
Direct investments	-1,372	-1,694	-344	-260	-406	-684	-512	-353
Long-term portfolio	-926	-850	-194	-267	-145	-244	32	-347
Repayment on U.S. Government loans	1,054	631	168	148	170	145	131	826
Foreign capital other than liquid funds	709	200	181	93	17	-91	199	248
Basic balance	-4,194	-1,969	-497	-538	-366	-568	233	649
U.S. Private short-term capital	-77	-1,312	-156	-83	-534	-539	-559	-104
Unrecorded transactions	528	-648	33	-142	-212	-327	-25	-296

Table 6. BALANCE OF PAYMENTS[1] (Continued)

(Seasonally adjusted)

Millions of dollars

	1959	1960	1960				1961	
			1st QTR	2nd QTR	3rd QTR	4th QTR	1st QTR	2nd QTR
Overall balance[2]	-3,743	-3,929	-620	-763	-1,112	-1,434	-351	249
Major special transactions	335[3]	-524	-	-80[4]	-	-444[5]	-	724[6]
Overall Balance, excluding special transactions	-4,078	-3,405	-620	-683	-1,112	-990	-351	-475

1) Excludes goods and services under military grants, and the subscription to the International Monetary Fund of $1,375 in 1959.
2) The overall balance takes account of changes in the gold stock, foreign currency holdings, short-term liabilities to foreign banks, official institutions and private holders and in foreign holdings of U.S. Government bonds and notes.
3) Includes advance repayments on U.S. Government loans, and exceptionally large private direct investment abroad involving cash payments.
4) Subscription to international organisations.
5) Exceptionally large private direct investment abroad and subscriptions to international organisations.
6) Foreign government debt repayments ($649 million) and debt service payments scheduled for different periods ($75 million).

SOURCE : Survey of Current Business.

depressed. Total exports to less industrialised countries have declined, although government financed shipments have increased.

Table 7. UNITED STATES MAIN EXPORTS

Millions of dollars

	1959	1960	1960 1st HALF	1961 1st HALF	CHANGE OVER PREVIOUS YEAR 1960 1st HALF	CHANGE OVER PREVIOUS YEAR 1961 1st HALF
Agricultural products	3,955	4,824	2,337	2,456	560	119
of which : cotton	452	988	567	526	382	-41
Machinery	3,886	4,293	2,130	2,369	182	239
Automobiles	1,258	1,293	712	603	44	-109
Chemical and related products ..	1,494	1,680	834	857	107	23
Iron and steel products	560	879	426	411	111	-15
Petroleum and coal products	868	840	415	374	-16	-41
Textiles and manufactures	634	694	352	343	60	-9

SOURCE : Survey of Current Business.

16. The decline in imports since late 1959 continued in the first quarter of 1961, but was replaced by some increase in the second quarter. Imports of textiles, sugar and automobiles rose sharply up to 1959, but have since been declining. The success of the introduction of compact cars by United States manufacturers is shown by the fact that, in the first half of 1961, the United States imported about 140,000 passenger cars, compared with some 350,000 in the first half of 1959. Imports of industrial materials have remained considerably lower than a year earlier, but began to rise in the spring, in line with the movement of domestic activity.

17. The net outflow of long-term capital, both public and private, fell in the first half of 1961. However, the public capital account was affected by extraordinary loan repayments amounting to $650 million made by Germany, the Netherlands and the Philippines. Apart from these transactions, the net outflow of official capital has shown a rising tendency over the past year. The decline in the net outflow of private capital was due to lower U.S. portfolio investments abroad and to an increase in foreign purchases of U.S. securities, notably industrial stocks.

Table 8. UNITED STATES IMPORTS BY ECONOMIC CLASS

	MILLIONS OF DOLLARS		PER CENT CHANGE	MILLIONS OF DOLLARS		PER CENT CHANGE
	1959	1960		1960 1st HALF	1961 1st HALF	
Crude materials ...	3,097	3,014	-3	1,561	1,354	-13
Crude foodstuffs ...	1,824	1,722	-6	888	893	+1
Manufactured foodstuffs[1)	1,599	1,566	-2	781	730	-7
Semi-manufactures	3,306	3,092	-6	1,658	1,474	-11
Finished manufactures	5,168	5,258	+2	2,734	2,356	-14
Total	14,994	14,652	-2	7,622	6,807	-11

1) Includes beverages.
SOURCE : Survey of Current Business.

II. LONGER-TERM TRENDS

18. Two aspects of the United States economy have attracted considerable attention over the past couple of years - the slow rate of growth and the high rate of external deficit. The slow rate of growth has been accompanied by rising unemployment and considerable under-utilisation of capacity. The external position is of particular importance because of the rôle of the dollar as an international currency.

a) Trends of Output and Demand

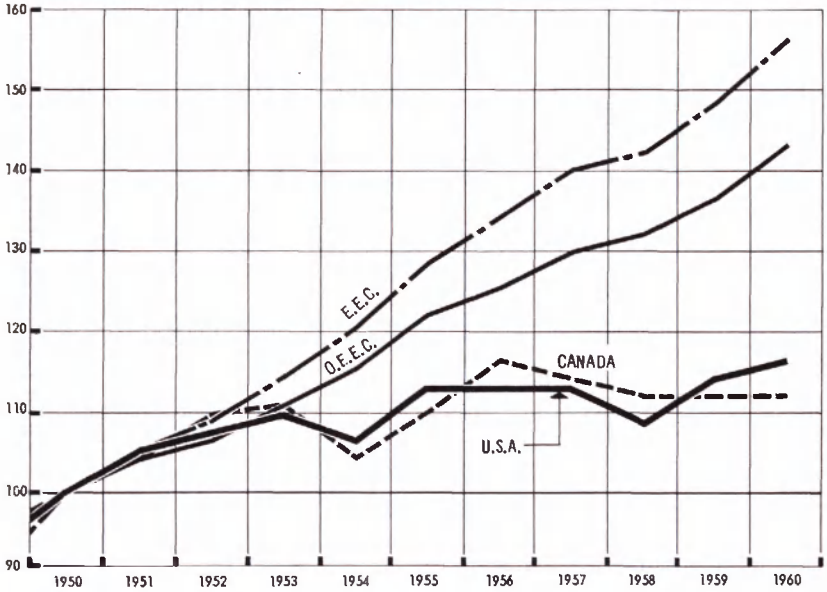
19. The rise in output over recent years has been modest, both compared with previous years and with the experience of other industrialised countries. Between 1955 and 1960*, for example, the United States real gross national product (at 1954 prices) rose by 13 per cent compared with an increase of 23 per cent over the previous five-year period. The real gross national product of O. E. E. C. Member countries combined rose by 23 per cent from 1955 tp 1960, with a faster expansion of the Common Market countries' combined output. The movement of

* The second quarter - the peak of the cycle - at a seasonally adjusted annual rate.

industrial production showed a similar picture, with the U.S. growth rate falling markedly, from the first to the second five-year period, to a level well below the one achieved by most other industrialised countries. The rate of growth in the real gross national product per person employed has also diminished, and the advance in output per man-hour in U.S. manufacturing industries over recent years has been smaller than in many European countries. The expansion of activity has been particularly disappointing since 1958. The 1958-1959 recovery, rather vigorous in its early stage, came to an end well short of full employment conditions.

Diagram 2. THE GROWTH OF GROSS NATIONAL PRODUCT PER CAPITA, 1950-1960

(Volume indices 1950 = 100)



SOURCE : General Statistics O.E.E.C.

20. There is much room for argument about how far the actual rate of growth has fallen short of the rate of growth of which the economy would have been capable if total demand had risen more quickly. It is not easy to assess what structural readjustments would be involved or the ease with which these could be achieved; or to judge at what levels of employment inflationary pressures would begin to develop*. But there can be

* Certain estimates made by the Council of Economic Advisers show that the gap between actual and potential output has shown an upward trend after 1955, rising to some 6 to 7 per cent of total output in 1960; it rose further to about 10 per cent in the first quarter of 1961, the trough of the recession, but fell to 8 per cent in the second quarter when activity recovered.

Table 9. GROSS NATIONAL PRODUCT AND EXPENDITURE, 1950, 1955 and 1960[1)]

	BILLIONS OF 1954 DOLLARS			CHANGES			
				BILLIONS OF 1954 DOLLARS		PER CENT	
	1950	1955	1960[1)]	1950/ 1955	1955/ 1960[1)]	1950/ 1955	1955/ 1960[1)]
Gross national product	318.1	392.7	443.4	74.6	50.7	23.5	12.9
Personal consumption	216.8	256.0	299.5	39.2	43.5	18.1	17.0
Durable goods	32.1	39.6	42.5	7.5	2.9	23.4	7.3
Non-durable goods	109.2	125.4	142.9	16.2	17.5	14.8	14.0
Services	75.5	91.0	114.2	15.5	23.2	20.5	25.5
Gross private domestic fixed investment	48.7	56.4	57.3	7.7	0.9	15.8	1.6
New construction	27.4	33.9	33.9	6.5	0.0	23.7	0.0
Residential non-farm	15.5	18.2	18.1	2.7	-0.1	17.4	-0.5
Other	11.9	15.7	15.9	3.8	0.2	31.9	1.3
Producers' durable equipment	21.3	22.5	23.4	1.2	0.9	5.6	4.0
Change in business inventories	7.2	6.1	4.9	-1.1	-1.2	-	-
Exports of goods and services	14.5	19.2	25.4	4.7	6.2	32.4	32.3
Imports of goods and services	14.2	18.3	24.4	4.1	6.1	28.9	33.3
Government purchases of goods and services	45.1	73.2	80.6	28.1	7.4	62.3	10.1
Federal	21.6	43.5	42.7	21.9	-0.8	101.4	-1.8
State and local	23.5	29.7	37.8	6.2	8.1	26.4	27.3

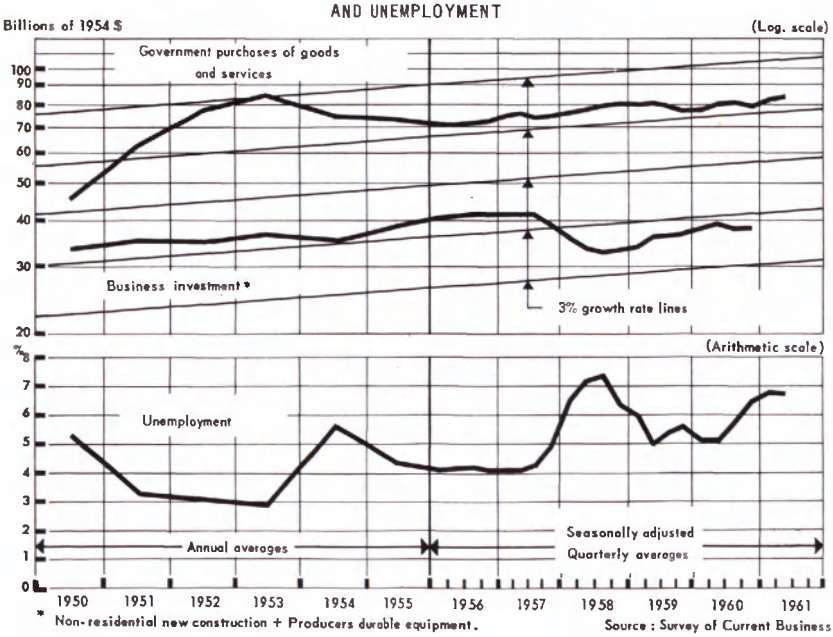
1) Second quarter seasonally adjusted annual rate.

SOURCE: Survey of Current Business.

little doubt that the low rate of growth of demand has been an important causal factor, and the substantial rise in unemployment rates has focused attention on the need to accelerate the rate of growth. Unemployment, comparing the rates prevailing at the three last cyclical peaks, has risen steadily - from 2.7 per cent seasonally adjusted rate in July 1953 to 4.2 per cent in July 1957 and further to 5.1 per cent in May 1960. Although the upward trend of unemployment has been fairly widespread, affecting most sectors of the labour force, unemployment remains particularly high in regions where a leading industry has suffered, such as coal mining in Pennsylvania, West Virginia and Kentucky and textile manufacturing in some New England States; it is relatively heavy also among unskilled and semi-skilled workers.

21. On the demand side, the most spectacular changes in trends from the first to the second half of the 1950's concerned government expenditure on goods and services and private fixed investment. The rapid increases of the first quinquennium were succeeded by virtual stability in the second. Private consumption continued to rise steadily in the 1955-1960 period. But the direction of consumers' demand changed noticeably; demand for durable goods rose more slowly than over the preceding five-year period, while expenditure on services expanded

Diagram 3. TRENDS IN INVESTMENT, GOVERNMENT EXPENDITURE AND UNEMPLOYMENT



faster than previously. Such changes as occurred in net exports and inventory movements were too small to have any appreciable effect on aggregate demand.

22. Gross private fixed investment in real terms, following a 16 per cent increase between 1950 and 1955, rose by only 1.5 per cent from 1955 to 1960 (second quarter, seasonally adjusted annual rate). Residential construction was no higher in 1960 than in 1955, and business capital outlays rose little; real expenditure on plant and equipment reached a peak in 1956 and has since remained well below that level. But, although net investment has not been rising, it has been large enough to produce a rate of growth in productive capacity in excess of the growth of demand and output. This has obvious cumulative dangers.

23. Government real expenditure on goods and services, although declining after 1953, was more than 60 per cent higher in 1955 than in 1950, largely as a result of higher defence expenditure. Over the 1955-1960 period, government purchases rose by only 10 per cent. The expenditure of State and local authorities rose steadily throughout the 1950 decade, but Federal purchases, which had about doubled between 1950 and 1955, accounting for almost one third of the increase in the gross national product over that period, fell somewhat from 1955 to 1960.

24. Both the fiscal and monetary policies of the United States Government operated so as to restrain the rate of growth of total domestic demand during the second half of the 1950's. As already noted, Federal purchases of goods and services which had previously been rising rapidly, were stabilized in real terms after 1955. But Federal receipts continued to rise, since the money national income went on growing and there were no substantial reductions in rates of taxation. This rise in revenue outstripped the rise in expenditure, even though the price of Government purchases was rising, and there were also increases in transfer payments. In other words, the secular trend in the Federal Budget was counter-expansionary. For example, in the last quarter of 1960, although the economy was operating well below capacity, and unemployment was at the seasonally adjusted rate of 6.4 per cent, the Federal Budget on a national accounts basis showed a surplus of 0.4 billion dollars (seasonally adjusted annual rate). By contrast, the budgetary position in the second quarter of 1958, at a comparable level of activity, had been a deficit at an annual rate of 8 billion dollars. There can be little doubt that the relative increase in budget receipts was one of the main factors responsible for the incomplete 1959-1960 recovery; from a deficit at a seasonally adjusted annual rate of about $11 billion in the second quarter of 1958, the trough of the recession, the budget changed to show a surplus of $4.5 billion in the second quarter of 1960, the peak of the upturn, when unemployment was 5.2 per cent. This turnaround of more than $15 billion, about 3 per cent of the gross national product, constituted a significant brake on the expansion.

25. Monetary policy showed the same shift in emphasis in the second part of the 1950's. After 1958, throughout the various phases of the business cycle, monetary conditions were tighter and interest rates higher than during comparable periods of previous post-war cycles. With a view to preventing expansion from developing into excess demand conditions, the policy of the Federal Reserve System was shifted from monetary ease to restraint at an early stage of the recovery that began in 1958. And although monetary policy was promptly reversed when the upturn tapered off early in 1960, the move towards monetary ease was cautious because of the need to discourage a short-term capital outflow. During the 1960-1961 downturn interest rates did decline, but remained well above the levels in previous recessions. While it is difficult to assess the extent to which tighter money and higher interest rates have restrained business over recent years, it is clear that, although monetary policy has contributed to the authorities' objectives, preventing inflation and moderating capital outflows, it has also contributed to the relatively weak demand conditions that have prevailed. Residential construction is sensitive to changes in mortgage rates, and tighter monetary policy has affected the availability of consumer credit. While the direct impact of tight money on business investment may not have been large, monetary policies taken together with budgetary conditions have helped to produce a general business climate unfavourable to expansion of investment.

b) Trends in foreign trade and payments

26. The United States balance of payments has been in deficit in every year since 1950, except 1957; the balance on goods and services has remained in surplus, but this surplus has not been large enough to cover military expenditure, foreign aid and capital exports. Prior to 1958, the deficits averaged about $1.5 billion per year and did not create problems; on the contrary, the outflow of gold and liquid dollar assets helped to reinstate the reserve positions of other countries. Since 1958, the foreign balance has shown much larger deficits, averaging $3.7 billion per year in the three-year period 1958-1960. Although the United States liquidity position is still very strong, it is clear that a deterioration of the reserve position at the rate experienced in the 1958-1960 period would not be sustainable. In 1961, the foreign balance improved significantly.

27. In retrospect, and in view of the marked improvement of the foreign balance in 1961, it is clear that the substantial deficits in the 1958-1960 period were to a large extent caused by temporary disturbances which magnified the basic underlying deficit. The decline of almost $3 billion in the trade surplus in 1958 was in part a reaction to the export bulge in 1956 and 1957 created by the Suez crisis and its aftermath, although the disappearance of inflationary pressure in Europe also played an important rôle. Moreover, a decline in net services receipts from the high 1957 level, which was also related to the Suez blockage, and a temporary increase in military expenditure

Table 10. BALANCE OF PAYMENTS, 1950 to 1960

Billions of dollars

	1950	1951	1952	1953	1954	1955	1956	1957	1958	1959	1960
Exports f.o.b.	10.1	14.1	13.3	12.3	12.8	14.3	17.4	19.4	16.3	16.3	19.4
Imports f.o.b.	-9.1	-11.2	-10.8	-11.0	-10.4	-11.5	-12.8	-13.3	-13.0	-15.3	-14.7
Trade balance	1.0	2.9	2.5	1.3	2.4	2.8	4.6	6.1	3.3	1.0	4.7
Invisibles, net	1.4	2.1	1.8	1.5	1.8	1.9	2.1	2.5	2.1	2.0	2.0
BALANCE OF GOODS AND SERVICES	2.4	5.0	4.3	2.8	4.2	4.7	6.7	8.6	5.4	3.0	6.7
Military expenditure, net	-0.6	-1.3	-2.0	-2.3	-2.4	-2.6	-2.8	-2.8	-3.1	-2.8	-2.7
Official grants	-3.5	-3.0	-2.0	-1.8	-1.6	-1.9	-1.7	-1.6	-1.6	-1.6	-1.6
Remittances and pensions	-0.5	-0.5	-0.5	-0.6	-0.6	-0.6	-0.7	-0.7	-0.7	-0.8	-0.8
CURRENT BALANCE	-2.2	0.2	-0.2	-1.9	-0.4	-0.4	1.5	3.5	0.0	-2.2	1.6
Official capital	-0.5	-0.5	-0.8	-0.7	-0.4	-0.7	-1.1	-1.6	-1.5	-1.4[1]	-1.7
Official amortisation	0.3	0.3	0.4	0.5	0.5	0.4	0.5	0.6	0.5	1.1	0.6
U.S. private long-term capital	-1.1	-1.0	-1.1	-0.5	-1.0	-1.0	-2.5	-2.9	-2.5	-2.3	-2.5
Direct investment, net	-0.6	-0.5	-0.9	-0.7	-0.7	-0.8	-1.9	-2.1	-1.1	-1.4	-1.7[2]
New issues of foreign securities	-0.3	-0.5	-0.3	-0.3	-0.3	-0.1	-0.5	-0.6	-1.0	-0.6	-0.6
Redemptions	0.3	0.1	0.1	0.1	0.1	0.2	0.2	0.2	0.1	0.1	0.1
Other	-0.5	-0.1	0.0	0.3	-0.1	-0.3	-0.3	-0.4	-0.6	-0.4	-0.4
Foreign long-term capital[3]	0.1	0.2	0.1	0.2	0.2	0.3	0.5	0.4	0.0	0.6	0.3
BASIC BALANCE	-3.4	-0.7	-1.5	-2.6	-1.0	-1.4	-1.1	0.0	-3.6	-4.3	-1.9
Private short-term capital	-0.1	-0.1	0.0	0.1	-0.7	-0.2	-0.5	-0.2	-0.4	0.1	-1.4
Errors and omissions	-0.0	0.5	0.5	0.3	0.0	0.4	0.6	0.7	0.4	0.5	-0.6
OVERALL BALANCE	-3.6	-0.3	-1.0	-2.2	-1.6	-1.1	-0.9	0.5	-3.5	-3.7	-3.9
Financed by :											
Sales of monetary gold	1.7	-0.1	-0.4	1.2	0.3	0.0	-0.3	-0.8	2.3	0.7	1.7
Increase in liquid dollar liabilities, net [4]	1.8	0.4	1.4	1.0	1.3	1.1	1.2	0.3	1.3	3.0	2.2

1) Excluding $1,375 million for increase in U.S. subscription to the I.M.F.

2) Includes two exceptionally large capital transactions totalling $0.4 billion.

3) Excluding investments in U.S. Government bonds and notes.

4) Including sales of U.S. Government bonds and notes.

Sources : The Economic Almanac 1960. Survey of Current Business.

contributed to the worsening of the foreign balance. In 1959, the trade surplus fell further by $2.3 billion, of which almost one half was due to temporary factors affecting cotton, aircraft, copper and steel; cotton exports were exceptionally low in anticipation of a change in export price policy, exports of aircraft fell temporarily because of the change from piston-engined aircraft to jets, and strikes in copper and steel had an important adverse influence on the balance of trade in these products. In 1960, when the unfavourable movements in cotton, aircraft, copper and steel were reversed, the trade surplus rose sharply again, reflecting a significant increase in exports and a decline in imports associated with the recession. But this improvement was more than offset by an exceptionally large capital outflow, notably of short-term funds.

28. On the other hand, there can be little doubt that the recent improvement of the foreign balance has been influenced by cyclical factors, notably by a low level of imports associated with slack demand conditions at home. Exports have benefited from boom conditions in Europe and Japan, while sales to Canada and Latin-America have been depressed by relatively low levels of activity in these areas. Since the middle of last year exports have been running at a record seasonally adjusted annual rate of almost $20 billion, while imports have been falling steadily since the autumn of 1959 and in the first half of the present year were more than 10 per cent below the 1959 rate.

29. In order to assess the underlying developments, it may be useful to consider a somewhat longer period, comparing the present position with the three years 1953-1955 - a relatively quiet period in international trade. The present position is represented by 1960, leaving out exceptional capital transactions, since that year was cyclically less abnormal than the first half of the present year (see Table 11).

30. The most striking feature which emerges from the comparison is the virtual stability of the basic balance between the two periods; the product of an improvement of $2.5 billion on trade account and a deterioration of roughly the same magnitude on capital account. This meant that the United States was still running a basic deficit of $1.75 billion to $2 billion, as in the earlier period; in 1960, by contrast with the earlier period, errors and omissions and private short-term capital were both negative. Hence there was an overall deficit of $3.9 billion in 1960.

31. The effect of an overall deficit is to weaken the external monetary position. Over the last ten years, from 1950 to the end of 1960, United States official gold holdings have fallen from $22.8 billion to $17.8 billion. Short-term liabilities to foreigners (excluding international institutions) rose from $8.4 billion in 1950 to $18.8 billion at the end of 1960, and they were at approximately the same level at the end of June 1961.

Table 11. BALANCE OF PAYMENTS

Billions of dollars

	1953-1955 ANNUAL AVERAGE	1960	CHANGES FROM 1953-1955 TO 1960
Merchandise exports	13.1	19.4	6.3
Merchandise imports	-11.0	-14.7	-3.7
Trade balance	2.2	4.7	2.5
Invisibles, net	1.7	2.0	0.3
Balance of goods and services	3.9	6.7	2.8
Military expenditure	-2.4	-2.7	-0.3
Official grants	-1.8	-1.6	0.2
Remittances and pensions	-0.6	-0.8	-0.2
Current balance	-0.9	1.6	2.5
Official capital	-0.6	-1.7	-1.1
Official amortisation	0.5	0.6	0.1
U.S. private long-term capital	-0.8	-2.5	-1.7
Direct investment, net	-0.7	-1.7	-1.0
New issues	-0.2	-0.6	-0.4
Redemptions	0.1	0.1	-
Other	0.0	-0.4	-0.4
Foreign long-term capital	0.2	0.3	0.1
Basic balance	-1.7	-1.9	-0.2
Private short-term capital	-0.3	-1.4	-1.1
Errors and omissions	0.2	-0.6	-0.8
Overall balance	-1.6	-3.9	-2.3

(+) Improvement
(-) Deterioration
SOURCES : Survey of Current Business. Business Statistics, 1959.

32. As already noted, a redistribution of the very large reserves, accumulated by the United States before and during the last World War, was desirable. Western Europe was able to build up its gold and dollar holdings from the abnormally low levels which prevailed in the early post-war years. Moreover, the United States reserve position is still very strong, and the strength of the basic external position of the United States is all the more apparent when account is taken of the improvement on long-term capital account which has taken place during the 1950's. The current account, which measures the change in international assets and liabilities, has been in rough equilibrium over the last ten years as a whole, with the last five years showing a surplus. The decline in the gold stock and the increase in short-term liabilities have therefore been accompanied by a commensurate improvement in the position concerning other

international assets and liabilities. At the end of 1960, total U.S. assets and investments abroad totalled about $71 billion. The bulk of these (about $50 billion) consisted of private investments, but U.S. Government credits and claims were also considerable, amounting to $21 billion. While these official credits and claims are not part of reserves as generally defined, they are clearly an element of strength in the external position.

33. Nevertheless, there is clearly a limit to the time over which the United States can go on running a significant overall external deficit, and the recent increase in the importance of movements of short-term funds is both a sign of the need to bring about an improvement in the basic balance and an added reason for doing so. It is now an objective of United States policy to bring the balance of payments into overall equilibrium.

34. It seems unlikely that any substantial part of the improvement will be found on long-term capital account. Official capital exports, consisting largely of loans to under-developed countries, have tended to grow in recent years; the 1960 figure was $1.1 billion higher than the 1953-1955 average. The major part of official lending is now in principle tied to the purchase of U.S. goods in order to avoid adverse repercussions on the balance of payments. Contractual repayments on previous lending have been running at about $0.6 billion in the last few years, but substantial debt prepayments were received in 1959 and again in the first half of 1961.

35. There has also been a large increase in the outflow of private long-term capital. This has been running at an annual rate of about $2.5 billion in recent years, as against one of $0.8 billion in the 1953-1955 period, with a sharp increase in direct investment, notably in Europe. The rise in direct investment has been encouraged by the establishment of the European Economic Community and the European Free Trade Association, and by the combination of high growth and profit rates in Europe and Japan and slow expansion in the United States. Tax considerations have probably also had an influence. Western Hemisphere investment, if carried out through a special type of "trading" corporation, is subject to a reduced rate of corporate tax - 38 per cent instead of the 52 per cent rate which applies within the U.S. - and unremitted earnings from any foreign source have not been subject to U.S. tax. The Administration has recently proposed that such unremitted earnings of foreign subsidiaries should henceforth be taxed, unless the investment is in an under-developed country, but the Congress has deferred action on this proposal until next year. There has also been a steady outflow of long-term funds as a result of foreign issues of securities on the U.S. capital market, although the amount of funds raised has varied somewhat with the change in capital market conditions. The outflow on this account in 1959 and 1960 totalled $0.6 billion a year. Foreign long-term investment in the United States has shown a rising trend, but has remained relatively moderate, averaging $0.3 billion in the last ten years.

36. Some improvement can be expected on balance in the non-trade elements of the current account, although they may not be substantial. Net invisibles receipts were higher in 1960 than in 1953-1955, but have remained fairly stable at around $2 billion in the last three years. The increase since 1953-1955 largely reflected a steady rise in net investment income, which in recent years has been offset by growing tourist expenditure. Measures have been taken to reduce tourist expenditure abroad by an estimated $150 million per year through a cut in the tourist allowance for duty-free imports, and foreign travel to the United States is being encouraged. Net military expenditure abroad has changed little over recent years, running at an annual rate of about $2.8 billion. The U.S. authorities have been seeking ways in which net expenditure under this head might be reduced. Official grants have also been fairly stable at $1.6 billion in the past few years - a somewhat lower rate than in 1953-1955. Most of these funds are destined for under-developed countries, and recently the larger part of these grants was tied to U.S. exports.

37. The present implication is that the main improvement in the balance of payments of the United States must be found on trade account.

38. The fact that the trade balance improved by no less than $2.5 billion between 1953-1955 and 1960 might at first suggest that a further improvement of the order necessary to bring the balance of payments into equilibrium overall, would not present much difficulty. But some part of the $4.7 billion trade surplus of 1960 certainly reflects the influence of temporary factors, the combination of recession in the United States and boom in Europe. Morever, it is reasonable to suppose that part of the $6.3 billion increase in exports between the two periods would not have occurred in the absence of the increase in private and public capital exports.

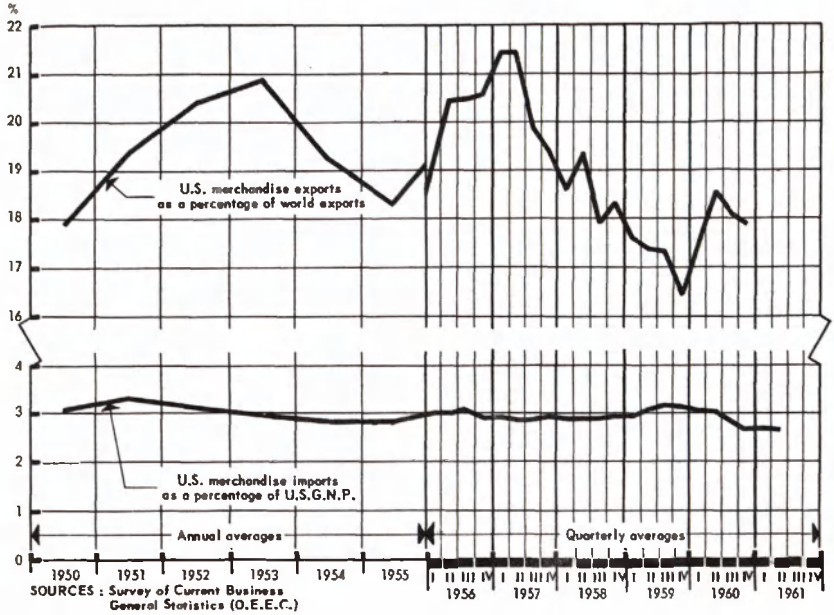
39. In the light of these qualifications, it is desirable to look more closely at the nature of the changes in United States exports and imports which took place between 1953-1955 and 1960.

Merchandise trade

40. The U.S. share of total world exports has declined somewhat, from 19.4 per cent in 1953-1955 to 17.9 per cent in 1960, but the ratio of merchandise imports to gross national product has remained virtually stable at 3 per cent. The trade surplus rose from an annual average of $2.2 billion in 1953-1955 to $4.7 billion in 1960. Although the significance of these aggregate measures is limited, and the trade surplus in 1960 was influenced by relatively low imports, the movement of these broad measures hardly suggests any general unfavourable change in the competitive position of the U.S. economy. But a

closer examination of trade developments shows that the trends in individual sectors have been somewhat mixed.

Diagram 4. U.S. FOREIGN TRADE



41. It is useful, for purposes of this analysis, to single out some sectors where developments have clearly been influenced by factors unrelated to more general trends. This is, in the first place, the case of textile manufactures and non-metallic minerals. In the period under consideration, the balance of trade in textile manufacture has deteriorated fairly steadily (see Table 12); exports have been well maintained but imports have risen sharply, mainly from low-wage countries. This development, which has also been experienced by a number of European countries, was clearly due to cost differentials, but does not necessarily reflect a widening of these differentials; an increase in the export supply of low-wage countries has undoubtedly played an important rôle. The marked adverse movement of trade in non-metallic minerals, representing more than $1.2 billion between 1953-1955 and 1960, largely reflects a sharp increase in the import surplus of petroleum and petroleum products which rose by almost $0.9 billion. The unfavourable developments in such staple products as crude petroleum and fuel oil have no doubt been caused by price differentials. In 1958, mandatory limits were placed on imports of crude oil and petroleum products on national security grounds, and imports have fallen somewhat since then.

Table 12. TRADE BALANCE
MAJOR COMMODITY GROUPS [1)]

Millions of dollars

	1953-1955 ANNUAL AVERAGE	1956	1957	1958	1959	1960
Food						
Exports	1,648	2,423	2,325	2,223	2,409	2,619
Imports	3,242	3,204	3,294	3,460	3,423	3,288
Balance	-1,594	-781	-969	-1,237	-1,014	-669
Animal and vegetable products, inedible						
Exports	1,077	1,347	1,493	1,329	1,576	1,767
Imports	990	1,080	1,036	966	1,307	1,253
Balance	87	267	457	363	269	514
Textile fibres and manufactures						
Exports	1,229	1,376	1,744	1,281	1,109	1,699
Imports	905	1,027	1,009	901	1,175	1,237
Balance	324	349	735	380	-66	462
a) Raw Cotton						
Exports	589	718	1,049	656	445	980
b) Textile manufactures						
Exports	626	630	667	600	634	694
Imports	497	648	635	637	837	932
Balance	129	-18	32	-37	-203	-238
Wood and Paper						
Exports	348	446	482	450	508	612
Imports	1,376	1,588	1,466	1,430	1,676	1,645
Balance	-1,028	-1,142	-984	-980	-1,168	1,033
Non-metallic minerals						
Exports	1,186	1,701	2,037	1,292	1,099	1,108
Imports	1,314	1,870	2,101	2,164	2,229	2,200
Balance	-128	-169	-64	-872	-1,130	-1,092
Metals and manufactures						
Exports	1,273	2,015	2,394	1,531	1,317	2,060
Imports	1,932	2,351	2,331	1,812	2,429	2,372
Balance	-659	-336	63	-281	-1,112	-312
a) Iron and steel products						
Exports	529	762	993	563	372	611
Imports	153	212	212	230	578	506
Balance	376	550	781	333	-206	105

Table 12. TRADE BALANCE
MAJOR COMMODITY GROUPS[1] (Continued)

Millions of dollars

	1953-1955 ANNUAL AVERAGE	1956	1957	1958	1959	1960
Machinery and vehicles						
Exports	4,171	5,293	5,846	5,292	5,234	6,047
Imports	383	632	859	1,152	1,622	1,464
Balance	3,788	4,661	4,987	4,140	3,612	4,583
a) Machinery						
Exports	2,773	3,580	4,004	3,682	3,706	4,088
Imports	254	355	424	472	656	711
Balance	2,519	3,225	3,580	3,210	3,050	3,377
b) Automobiles and parts						
Exports	1,081	1,359	1,309	1,087	1,145	1,216
Imports	64	145	337	554	844	627
Balance	1,017	1,214	972	533	301	589
Chemicals						
Exports	956	1,239	1,379	1,343	1,479	1,661
Imports	266	274	276	282	347	353
Balance	690	965	1,103	1,061	1,132	1,308
Miscellaneous						
Exports	694	912	989	920	924	1,015
Imports	378	490	579	652	786	839
Balance	316	422	410	268	138	176

1) Excluding Types I and II special category items.
SOURCE : Total Export and Import Trade of the United States, Statistical Reports of the World Trade Information Service, U.S. Department of Commerce.

42. Similarly, no general significance can be attached to the important improvement of the trade balance in food and in inedible animal and vegetable products including notably crude and synthetic rubber, oil seeds and tobacco. Improvement for these two sectors (+$1.3 billion between 1953-1955 and 1960) is partly linked to increased shipments of agricultural products under aid programmes; moreover, international trade in these commodities is far from liberalized, so that no clear indications can be inferred from the movement of U.S. exports in this sector.

43. The trade balance in metals and manufactures has improved since 1953-1955, but the relatively low deficit in 1960 was strongly influenced by cyclical factors; imports of ferrous

and non-ferrous metals were low in 1960 because of the recession. Despite these cyclical factors, however, the export surplus of iron and steel mill products was lower in 1960 than in 1953-1955; exports rose somewhat, but this was more than offset by a steep increase in imports. There are strong indications that price movements played an important rôle in this development. U.S. export prices of bars, plates, sheets, and structurals rose steadily between 1953 and 1959 while those of other major steel-exporting countries rose much less or declined (see Table 13). It is also striking to note that steel prices appear to have been much more flexible in Europe and Japan than in the United States, although cyclical downturns in economic activity have been much sharper in the United States (1954 and 1958) than in Europe and Japan. It is, moreover, probable that the steel industry in the United States has been operating at a lower average level of capacity utilisation than in the other countries. In 1960, however, iron and steel prices remained unchanged in the United States, while prices of other countries

Table 13. EXPORT PRICES OF VARIOUS STEEL PRODUCTS IN MAJOR PRODUCING COUNTRIES

1953 = 100

	1954	1955	1956	1957	1958	1959	1960
Bars							
United States	103	107	122	132	138	139	139
United Kingdom	82	97	106	112	105	102	103
E.C.S.C.[1]	n.a.	119	126	120	89	106	109
Japan	90	99	126	136	83	97	96
Plates							
United States	103	104	111	119	124	126	126
United Kingdom	78	87	110	123	100	89	88
E.C.S.C.[1]	n.a.	98	127	127	86	82	87
Japan	91	110	146	148	89	92	96
Sheets							
United States	94	98	106	114	112	113	113
United Kingdom	99	98	92	97	93	92	97
E.C.S.C.[1]	n.a.	101	101	102	n.a.	97	95
Japan	98	95	113	118	88	88	85
Structurals							
United States	104	107	115	124	130	132	132
United Kingdom	80	95	102	133	106	97	94
E.C.S.C.[1]	n.a.	114	148	140	99	100	105
Japan	83	95	116	129	87	89	86

1) In 1954, only "official minimum prices" were reported. For steel sheets, no price was reported throughout 1958.

SOURCES : Metal Bulletin, London, for European Coal and Steel Community and Preise Löhne Wirtschaftsrechnungen, Statistisches Bundesamt, Germany, for other countries.

tended to rise, although the development varied somewhat from product to product.

44. The U.S. trade balance in "miscellaneous" goods, including a wide range of consumer manufactures, has also deteriorated somewhat since 1953-1955, with imports rising faster than exports. Most of the decline in the trade surplus, however, can be ascribed to an increase in imports of non-commercial items not specified in the foreign trade statistics. Exports of scientific and professional instruments, photographic and projection goods, and various other products have continued to rise steadily.

45. Exports of chemicals, machinery and vehicles, which account for more than 40 per cent of merchandise exports, were much higher in 1960 than in 1953-1955, reflecting the strong international position of the United States in these sectors. But imports, notably of machinery and vehicles, have risen sharply in relative terms, and the movement of foreign trade has varied considerably within this group.

46. The trade surplus in automobiles has fallen, largely because of a sharp increase in imports, notably of small European cars; imports were negligible in 1953-1955 but had risen to more than $0.8 billion in 1959, while exports showed only a moderate increase. But this development was reversed in 1960, when imports fell significantly, following the introduction of smaller cars by U.S. manufacturers. Imports fell further in the first quarter of 1961 to an annual rate of less than $0.4 billion. As a result of these developments, the trade surplus on automobiles fell from an annual rate of $1 billion in 1953-1955 to $0.3 billion in 1959, but rose again to almost $0.8 billion in the first quarter of 1961.

47. Imports of machinery have also increased strongly since 1953-1955, but have remained low in relation to exports. The expansion in imports has concerned notably electrical apparatus, and in this commodity group the U.S. trade surplus fell somewhat between 1953-1955 and 1960. But this development was dwarfed by a sharp advance in net exports of industrial machinery. While the large export surplus in 1960 was influenced by cyclical factors, there can be little doubt that the United States trading position in machinery remains strong, although in recent years prices appear to have risen rather more in the U.S. than elsewhere.

48. Several qualifications should be borne in mind when assessing the developments in U.S. foreign trade over the last seven years. On the one hand, the increase in exports is certainly not unrelated to the growth of capital outflow, both public and private; the increase in the amounts of official grants and loans (net) and net direct private investment abroad between 1953-1955 and 1960 has been of the order of $2.0 billion and certainly a significant part of this has been spent on U.S. goods. On the other hand, except in the case of steel, there is no clear

evidence of adverse price movements or excessive price rigidity hampering U.S. exports. The report on "The Problem of Rising Prices" prepared by a group of experts and published by the O.E.E.C. in 1961, pointed out that between 1953 and 1959 wholesale prices of machinery and motive products rose by 24 per cent in the United States and by less than 10 per cent in most European countries. The report warned, however, that because of the limited comparability of the European wholesale price indices any generalisations must be treated with reserve. Moreover, price is only one element, although an important one, in the complex of factors which determine the competitive position in the field of highly manufactured goods.

49. Imports have increased very substantially in some fields (e.g. machinery, automobiles and parts and "miscellaneous" manufactures) but this was a natural and valuable result of the re-emergence, after 1953, of the other industrial countries as designers, producers and exporters of manufactured goods; it is equally significant that U.S. exports in these sectors continued to expand substantially, with the exception of automobiles, and that even in the automobile field the U.S. industry has been able, after a while, to successfully counter foreign competition.

50. There is, therefore, no reason to suppose that the trend towards a slightly faster rise in overall exports than in imports which clearly prevailed in the last ten years, will be reversed in the coming period. And, provided that excessive increases in costs and prices are avoided, it appears within reach of reasonable policies to obtain an increased contribution of the foreign trade surplus to the restoration of equilibrium in the international payments of the United States.

51. Recorded short-term capital transactions have shown a fairly regular outflow over the last ten years, but the amounts involved were moderate until last year. "Unrecorded transactions", which probably include some capital flows, usually show a net inflow. But in 1960 recorded private short-term capital and unrecorded transactions together showed an outflow of almost $2 billion, compared with an inflow of $0.4 billion in 1959. This development was mainly the result of interest rate differentials between the United States and leading European markets, although a speculative wave in the autumn contributed to the outflow. With the new convertibility of European currencies, the U.S. balance of payments, like that of most other countries, has probably become more vulnerable to flows of short-term funds.

III. ECONOMIC POLICY

a) Domestic Policy

52. The major objectives of the present Administration's domestic economic policy are to remove the existing slack in

the economy and accelerate longer-term growth while maintaining the internal and external value of the dollar. To these ends, a wide range of measures has been taken or proposed, with particular emphasis on programmes to promote faster economic growth. In view of the balance of payments position, action to stimulate demand has been more heavily weighted in the direction of fiscal than of monetary measures.

The budget

53. The emphasis of fiscal policy has been on higher expenditures. The increase in budget outlays covers a wide range including defence, space programmes, education and research, foreign aid, housing and community development, aid to depressed areas, improved unemployment and social insurance,

Table 14. FEDERAL BUDGET, TRUST FUNDS AND CASH ESTIMATES

Billions of dollars

	1958-1959 ACTUAL	1959-1960 ACTUAL	1960-1961 ACTUAL	1961-1962 ESTIMATES
A. Administrative budget				
i) Receipts [1]	67.9	77.8	77.6	82.1
of which :				
Corporate taxes	17.3	21.5	21.0	21.7
ii) Payments[1]	80.3	76.5	81.5	89.0
of which :				
National security	46.4	45.6	47.4	51.1
Agriculture	6.5	4.8	5.1	6.3
Health, labour, welfare and education	4.4	4.4	5.0	5.6
Commerce, housing and space technology	3.4	2.8	3.9	5.0
Budget surplus or deficit	-12.4	1.2	- 3.9	- 6.9
B. Trust funds				
i) Receipts[1]	17.0	20.5	23.8	24.8
ii) Payments[1]	18.5	20.9	23.2	25.7
of which :				
Unemployment	3.1	2.7	4.7	3.8
Highways	2.7	3.0	2.7	3.2
Old-age and survivors insurance	9.5	11.2	11.8	13.4
Trust funds surplus or deficit	- 1.5	-0.4	0.6	- 0.9
C. Excess of Federal cash payments to (-) or receipts from the public[2]	-13.1	0.8	- 2.1	- 8.4

1) Totals shown exclude certain inter-fund transactions which are not, however, excluded from the subgroups shown.

2) Balance of budget receipts and payments and trust fund receipts and payments, adjusted for accrued interest, intra-governmental transactions and other non-cash expenditure (net).

SOURCE : Mid-Year Budget Review.

and measures to improve the mobility of labour. Tax rates have not been changed; various proposals made by the President, including an investment tax credit as an incentive for the modernisation and expansion of private plant and equipment, have been put off until next year.

54. Largely as a result of measures taken after the beginning of this year, budget expenditure in 1960-1961 was $2.6 billion higher than envisaged in the budget message presented by the outgoing administration in January. Since receipts fell short of earlier expectations, the administrative budget showed a deficit of $3.9 billion; in January an approximate balance had been envisaged but based on estimates of revenue which proved optimistic. The budget including Trust Fund accounts showed a cash deficit of $2.1 billion. In 1961-1962 the budget cash deficit is expected to rise to $8.4 billion, with the administrative budget showing one of $6.9 billion; in the administrative budget, receipts are thought likely to rise by about 6 per cent, largely as the result of a growing tax base. Expenditure is expected to rise by about 9 per cent. The Authorities aim at a balanced budget in 1962-1963.

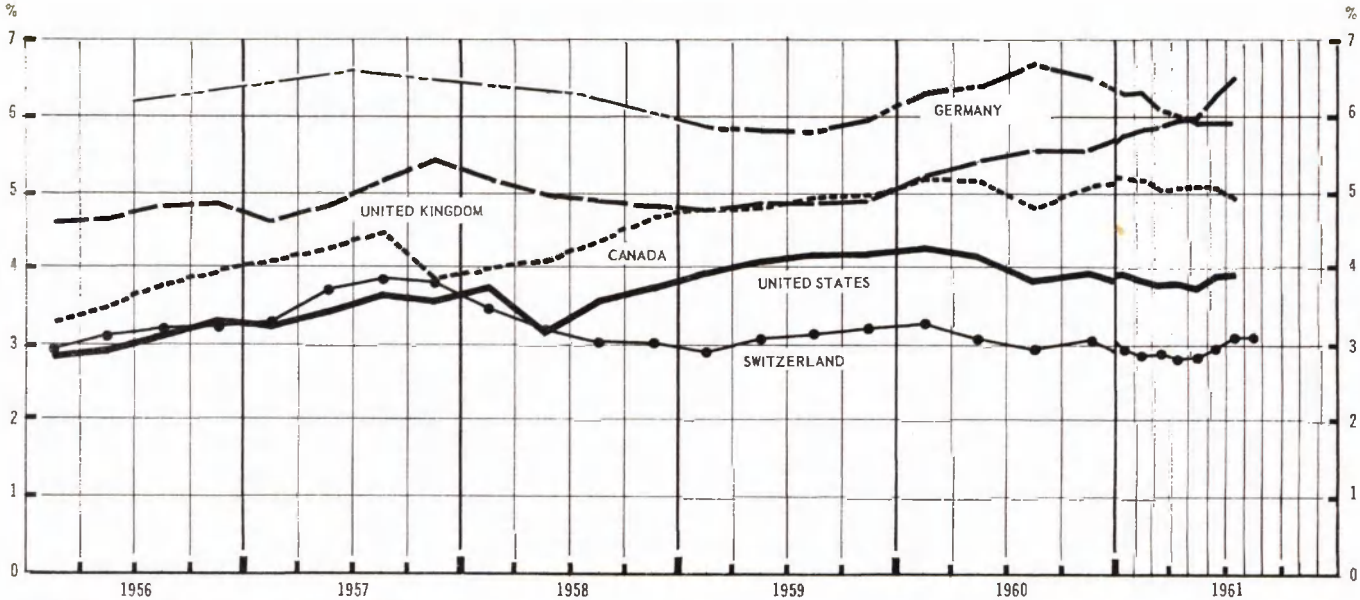
Monetary policy

55. Monetary restraints were relaxed early in 1960 when economic activity ceased to rise, and the easier monetary conditions that developed last year have been maintained in 1961; the money supply continued to rise in the first half of the year and the banks' liquidity position remained easy, with free reserves at the end of June totalling some $550 million. But in view of the tendency for U.S. capital to move out, partly as the result of higher short-term yields abroad, the policy of the Federal Reserve authorities has been more cautious than in previous recession periods. The discount rates of the Federal Reserve Banks were reduced from 4 to 3.5 per cent in June and to 3 per cent in August-September of last year, but have since remained unchanged; during the two previous recessions, these rates were reduced to 1.5 per cent (1954) and 1.75 per cent (1958). To provide the monetary ease deemed necessary to economic recovery, while at the same time minimising downward pressures on short-term interest rates, the Federal Reserve System, beginning in February 1960, provided funds to the banking system by buying mainly longer-term U.S. Government securities; since the change in policy the Federal Reserve has bought about $1.6 billion of Government securities of maturity longer than one year; at the same time the Treasury Department has been buying, up to the 30th June, long-term U.S. Government securities for the Trust Fund accounts. The Federal Reserve has been selling short-term securities, in order, inter alia, to maintain short-term rates at the desired level.

56. Total loans and investments of commercial banks rose in the first half of 1961, in contrast to the typical seasonal decline in this period of the year; demand for bank loans remained

Diagram 5 (Part a). LONG-TERM GOVERNMENT BOND YIELDS 1956-61

Average yields on bonds with maturity of 12 years or more

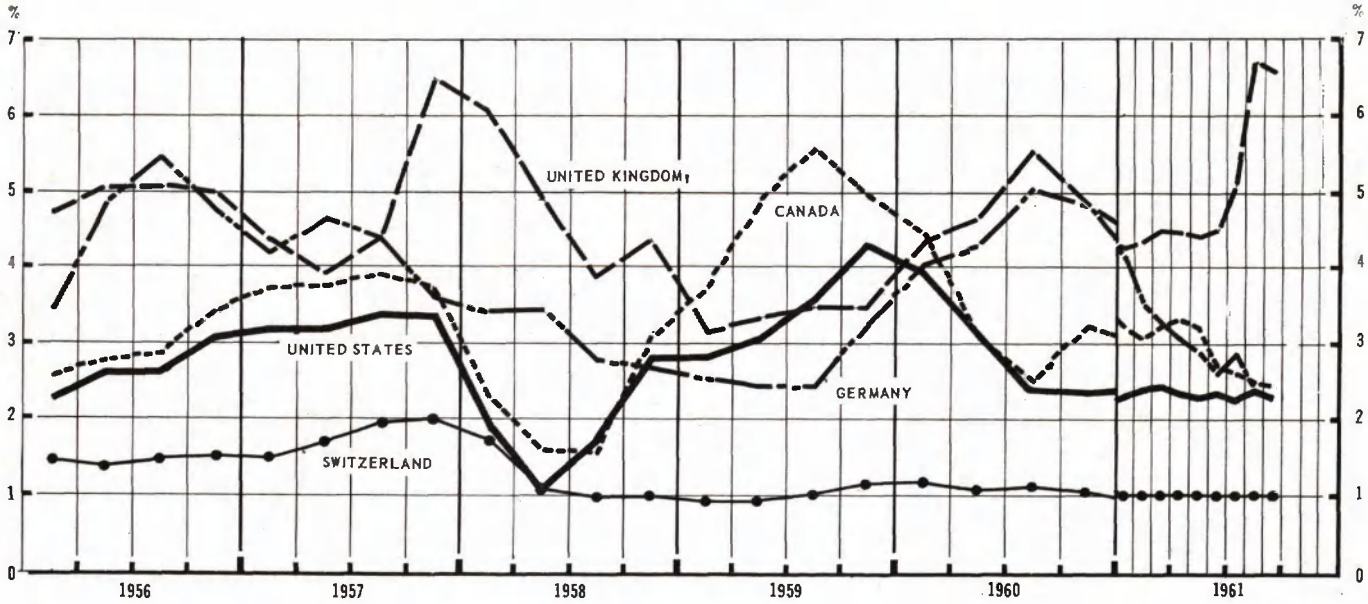


* For 1956-58, only annual average figures are available

SOURCES : International Financial Statistics (I.M.F.), Bank of Canada Statistical Summary.

Diagram 5 (Part b). SHORT-TERM INTEREST RATES 1956-61

For the U.S., U.K. and Canada : average tender rate for three-month Treasury Bills
For W. Germany and Switzerland : average daily or weekly call money rates



SOURCES : International Financial Statistics (I.M.F.), Bank of Canada Statistical Summary.

rather weak and total loans decreased, but the banks increased their security holdings, particularly short-term U.S. Government securities. The total amount of funds raised in security markets in the first half of 1961 was higher than a year earlier. This was partly due to a sharp increase in new issues of long-term securities by corporations in the second quarter, following a low level in the first months of the year; the large increase reflected in part an attempt by corporations to improve their liquidity by funding bank debt, and in part the anticipation of rising credit demands and interest rates as the recovery continues. The Federal as well as State and Local governments also raised more funds than a year ago.

57. Reflecting these policies and demand trends, short-term interest rates have fluctuated within a relatively narrow range, remaining well above the level experienced in previous recessions. Medium- and longer-term rates fell steadily but slowly during the first months of 1961; they rose after May, but became fairly steady in August and September. In previous business cycles longer-term rates declined more sharply during the recessions and responded often more promptly to the recovery of activity. Stock prices turned up last autumn and a rising trend was maintained up to May; prices fell somewhat in June and the movement has since been somewhat irregular.

b) Foreign Economic Policy

58. Policies to improve the balance of payments have centred on measures to increase exports and to reduce the balance of payments impact of government military and economic programmes abroad. Restrictive trade policies or a reduction of foreign aid have been avoided; the While House "Message on Balance of Payments and Gold" of February 6, 1961, stated that exchange controls over trade and investment would not be invoked and that national security and foreign assistance programmes would be carried forward. Further liberalisation of trade in an expanding world economy and continued assistance to development countries remain major objectives of the United States'foreign economic policy.

59. The steps taken to correct the foreign deficit have included measures to support the efforts of private business to increase their sales abroad. The trade promotion and other commercial activities of the Department of Commerce, the Foreign Service and the Department of Agriculture have been strengthened, and efforts are being made to encourage foreign travel in the United States. To place United States exporters on an equal basis with exporters of other countries, the programme of export credits and guarantees introduced by the Export-Import Bank last year has been expanded. Offshore military purchases are being reduced, and the tourist allowance for duty-free imports has been cut from $500 to $100. Almost all purchasing under aid has been tied to purchases in the United States.

60. Recent measures and policy statements point to an increase in foreign aid, and measures have been proposed to improve foreign aid procedures. The Congress has appropriated about $4 billion for the Mutual Security Programme for the current fiscal year, compared with an appropriation of $3.8 billion for the fiscal year ending 30 June 1961. Approximately half of this year's appropriation is earmarked for economic and other non-military aid. Early in 1961, the Congress appropriated $500 million for the Inter-American Fund for Social Progress and more recently a new Latin-American aid programme (Alliance for Progress) has been announced; the programme estimates the flow of external funds from all sources into Latin-America at some $20 billion over a ten-year period; approximately $1.1 billion a year is expected to come from public funds in the United States, with the other $0.9 billion a year coming from United States private investment, the World Bank for Reconstruction and Development, the Inter-American Bank and from Europe and Japan. The Act for International Development - the first major revision of United States aid legislation since 1954 - aims at a more unified aid organisation equipped with flexible grant, loan and guarantee instruments. Long-term development loans will be an important element of the new programme; the Congress has authorised appropriations of $7.2 billion for a five-year development programme - $1.2 billion for the current fiscal year and $1.5 billion for each of the next four. Long-term development loans will be supplemented by aid in the form of agricultural and other commodities from United States surplus stocks, by technical assistance including the services of the Peace Corps, and by grants from annual appropriated funds.

IV. PROSPECTS AND CONCLUSIONS

61. The short-term prospect is that output should continue to expand fast in the rest of 1961 and well into 1962, under the impact both of the natural forces of recovery and of the stimulus provided by fiscal and monetary policies. With the expenditure programmes that have been adopted in 1961, the previous tendency of the Federal budget to move into surplus at substantially below full employment levels has been modified, and monetary policy, although more cautious than in previous periods of slack, should facilitate the expansion.

62. All major sectors of domestic demand should contribute to the advance, but net exports may tend to decline. The increase in residential construction that started in the second quarter should continue, and business plant and equipment expenditure is likely to recover in the second half of this year, stimulated by the prospective increase in overall demand, a better utilisation of existing capacity, and higher profits. Government expenditure should make an important contribution to a further advance in total demand; outlays by State and local authorities are rising, Federal expenditure is likely to increase

appreciably during the rest of 1961, and growing defence expenditure should exert a significant expansionary influence in 1962. Private consumption turned up in the second quarter, and is likely to rise in line with the growth of personal incomes. With growing demand and activity, a further accumulation of business inventories is probable.

63. In the short-term the effect of this expansion on the trade balance is likely to be adverse. The expansion of domestic activity now expected might, by the middle of 1962, increase the import bill by $1.5 to $2.0 billion over the level of the first half of 1961. Over the same period exports should improve somewhat, but the extent of the rise is uncertain. Shipments to Canada and Latin America should continue to rise, and the increase in U.S. imports from raw materials producing countries should be accompanied by some increase in their demand for U.S. exports. The trend of exports to Europe is more uncertain; some levelling off has taken place recently and their future course will depend on the rate of European expansion and stock-building. Exports to Japan on the other hand are likely to level off and may decline. The outflow of long-term capital may tend to rise, but moderately if at all; faster expansion in the United States with better profit opportunities should have a dampening influence on long-term capital exports. In the next few months, a decline in the short-term capital outflow may have a compensating effect on the overall foreign balance, but it is clear that the autonomous trend of the basic deficit will be towards a higher deficit because of the change in the cyclical position.

64. The major question is whether on this occasion the expansion can continue to a point where full employment is achieved and merge thereafter into a more adequate trend of long-term growth than was achieved during the 1950's. It was pointed out above that there has already been a significant change in the impact of the Federal budget, which operated as a counter-expansionary force in the second half of the 1950's. It may well be, however, that the achievement of the Government's objectives in employment and growth will entail in the years to come greater reliance on the Federal budget as a means to ensure an adequate level of final demand. This need not imply a continuous accumulation of budgetary deficits; a regular increase in the absolute dimension of the budget can equally lead to the desired result. Indeed, the experience of the second part of the 1950's suggests that, in the absence of a sufficiently strong autonomous expansion of other components of final demand, the stagnation of the Federal demand for goods and services has contributed to the emergence of the slack in the United States economy.

65. How far the authorities will feel able to go in such further positive stimulation of the growth of domestic demand, will depend critically on the development of costs and prices, not only because of their domestic importance, but also because of their impact on the balance of payments and the external monetary position.

66. It has been suggested above that the direct short-term effect of the expansion on the balance of trade will be adverse. In the longer term, the foreign balance will progressively benefit from the measures that have been taken to improve it, notably the tying of foreign aid to U.S. goods, the reduction of offshore military purchases, and the cut in the tourist allowance for duty-free imports. Moreover, increased facilities for export credits and guarantees, and the efforts to promote business interest in exporting should have a favourable influence in the somewhat longer run, and the full effect of the progressive liberalisation of dollar imports by other countries has probably not yet been seen.

67. Furthermore, there still exist possibilities for further advance debt repayments by Member countries with a strong balance of payments, should the development of the United States balance of payments require such support. It may be hoped that the close consultation on international monetary questions which now exists will prevent any difficulties from being accentuated by disequilibrating movements of short-term funds in responce to interest rate differentials.

68. Nevertheless, the substantial improvement in the United States trade balance which will be needed if external equilibrium is to be achieved, will be very difficult to secure if there is any substantial deterioration in relative costs of United States production.

69. Over the next few months, prices should remain relatively stable. With substantial spare capacity in the economy, there should not be excessive demand pressures. Unemployment is still close to 7 per cent of the civilian labour force, an additional 4 per cent are on part-time jobs, and most industries are operating at well below capacity, so that it is clearly premature to anticipate general excess demand pressures. And as output per man-hour rises fast in the early stages of recovery, any very considerable pressure from the cost side would seem unlikely.

70. It remains important, however, to avoid the sort of price and cost pressures which, in the past, have sometimes arisen even though full employment conditions have not been reached. The experience of recent years suggests that the exertion of market power by labour and management has led to significant price increases in some sectors, and has prevented price reductions when market conditions might have been expected to produce them. Inflationary pressure of this kind is peculiarly difficult for a Government to deal with in a free-enterprise economy. The United States authorities are endeavouring to strengthen competitive forces through more active enforcement of the anti-trust laws, by maintaining a liberal import policy and by ensuring that the public interest is clearly stated when important wage or price decisions are being taken. One of the main tasks of the recently-established Advisory Committee on

Labour and Management Policy will be to enlist the co-operation of labour and management in a voluntary programme of price and wage restraint. There are grounds for hoping that, in the immediate future, significant price increases in important sectors will, in fact, be avoided. But efforts will have to continue to assure effective results in this field.

STATISTICAL ANNEX

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Table I. NATIONAL PRODUCT AND EXPENDITURE IN CONSTANT (1954) PRICES

Billions of dollars

	PERSONAL CONSUMPTION EXPENDITURES	GROSS PRIVATE DOMESTIC INVESTMENT	NEW CONSTRUCTION	PRODUCERS' DURABLE EQUIPMENT	NET CHANGES IN BUSINESS INVENTORIES	NET EXPORTS OF GOODS AND SERVICES	EXPORTS	IMPORTS	GOVERNMENT PURCHASES OF GOODS AND SERVICES	FEDERAL	STATE AND LOCAL	GROSS NATIONAL PRODUCT
	1	2	3	4	5	6	7	8	9	10	11	12
1950	216.8	55.9	27.4	21.3	7.2	0.2	14.5	14.2	45.1	21.6	23.5	318.1
1951	218.5	57.7	26.0	22.0	9.7	2.2	17.3	15.1	63.3	39.3	24.1	341.8
1952	224.2	50.4	26.0	21.8	2.6	1.2	16.9	15.7	77.7	53.3	24.5	353.5
1953	235.1	50.6	27.6	22.5	0.5	-0.9	16.4	17.3	84.3	58.8	25.5	369.0
1954	238.0	48.9	29.7	20.8	-1.6	1.0	17.5	16.5	75.3	47.5	27.7	363.1
1955	256.0	62.5	33.9	22.5	6.1	0.9	19.2	18.3	73.2	43.5	29.7	392.7
1956	264.3	61.7	32.2	25.0	4.5	2.5	22.4	19.8	72.3	41.7	30.6	400.9
1957	271.2	58.1	31.8	24.6	1.6	3.8	24.4	20.6	75.5	43.2	32.2	408.6
1958	273.2	49.0	31.1	19.4	-1.5	-0.2	21.4	21.6	79.3	44.5	34.8	401.3
1959	289.3	61.1	34.3	21.3	5.5	-2.1	22.2	24.3	80.1	43.9	36.2	428.4
1960	298.3	60.6	33.9	22.7	4.0	1.7	25.3	23.6	80.2	42.3	38.0	440.8
1959 1) 1st quarter ..	283.8	59.9	33.7	20.1	6.2	-2.2	21.1	23.4	80.7	44.2	36.5	422.1
2nd quarter ..	289.7	66.9	35.2	21.6	10.1	-3.2	21.5	24.6	81.0	44.6	36.4	434.4
3rd quarter ..	290.8	57.3	34.7	21.7	0.8	-1.9	23.2	25.1	80.5	44.0	36.5	426.6
4th quarter ..	292.8	60.4	33.4	21.9	5.0	-0.9	23.1	24.0	78.4	42.7	35.8	430.7
1960 1) 1st quarter ..	295.4	66.6	34.3	22.4	9.9	0.6	24.5	23.9	78.4	41.7	36.7	441.0
2nd quarter ..	299.5	62.3	33.9	23.4	4.9	1.0	25.4	24.4	80.6	42.7	37.8	443.4
3rd quarter ..	298.6	58.6	33.6	22.7	2.3	1.6	25.4	23.7	81.3	42.9	38.4	440.2
4th quarter ..	299.6	54.9	33.9	22.1	-1.1	3.5	26.1	22.6	80.3	41.6	38.7	438.4
1961 1) 1st quarter ..	297.0	49.6	32.9	19.9	-3.2	3.3	25.7	22.4	83.3	43.1	40.2	433.2
2nd quarter ..	301.6	57.3	34.1	20.3	2.9	1.9	24.5	22.6	84.7	44.7	40.0	445.5
3rd quarter 2).	306.2	60.1	34.9	21.4	3.8	0.4	n.a.	n.a.	85.4	40.7	44.7	452.1

1) Seasonally adjusted quarterly totals at annual rates.
2) Preliminary estimates by the Council of Economic Advisers.
SOURCE : Survey of Current Business (except as noted).

Table II. PRODUCTION, EMPLOYMEN

	UNIT OR BASE	1959
INDUSTRIAL PRODUCTION (seasonally adjusted indices)		
1. Total [1]	1957 = 100	105
2. Manufactures	(averages)	105
3. Durable manufactures [2]	"	102
4. Primary metals	"	90
5. Fabricated metals	"	104
6. Transportation equipment	"	98
7. Non-durable manufactures [2]	"	110
8. Food and beverages	"	106
9. Textile-mill products	"	113
10. Petroleum products	"	105
11. Mining	"	95
MANPOWER		
12. Total labour force, including armed forces	thousands	71,808
13. Civilian labour force, total	(last month	69,276
14. Employed	of period)	65,699
15. Unemployed	"	3,577
16. Unemployment as % of civilian labour force: (seasonally adjusted)	percentage	5.
MANUFACTURERS' NEW ORDERS NET (seasonally adjusted)		
17. Total	$ millions	30,740
18. Durable goods industries	(last month	14,770
19. Non-durable goods industries	of period)	15,970
MANUFACTURERS' UNFILLED ORDERS (Unadjusted)		
20. Total	$ millions	51,490
21. Durable goods industries	(end of period)	48,130
22. Non-durable goods industries	"	3,360
23. MANUFACTURERS' INVENTORIES (book value, seasonally adjusted)	$ millions (end of period)	52,430
MANUFACTURERS' SALES (seasonally adjusted)		
24. Total	$ millions	30,790
25. Durable goods industries	(last month	15,010
26. Non-durable goods industries	of period)	15,780
PERSONAL INCOME (seasonally adjusted quarterly totals at annual rates)		
27. Total	billions	383.
28. Wage and salary disbursements	of dollars	258.
29. Other labour income	"	10.
30. Proprietors' income	"	46.
31. of which : Farm	"	11.

1) This index includes utilities in addition to the major product groups shown separately.
2) These indices cover other products in addition to items 4-6 and 8-10.

AND OTHER BUSINESS INDICATORS

1960	1960 1st QUARTER	1960 2nd QUARTER	1960 3rd QUARTER	1960 4th QUARTER	1961 1st QUARTER	1961 2nd QUARTER	1961 3rd QUARTER
108	110	109	108	105	102	108	112
108	111	110	108	104	102	108	112
104	109	106	104	98	95	102	107
90	110	93	83	74	72	88	97
106	108	107	107	102	96	104	108
102	106	103	101	97	88	98	100
113	112	115	114	112	111	116	120
109	108	109	109	110	110	112	115
109	111	113	110	101	102	109	116
108	103	109	113	108	106	110	114
97	97	97	97	98	97	97	98
73,079	70,993	75,499	73,672	73,079	73,540	76,790	73,670
70,549	68,473	73,002	71,155	70,549	71,011	74,286	71,123
66,009	64,267	68,579	67,767	66,009	65,516	68,706	67,038
4,540	4,206	4,423	3,388	4,540	5,495	5,580	4,085
6.8	5.5	5.4	5.7	6.8	6.9	6.8	6.8
28,700	30,290	30,110	30,400	28,700	29,850	31,100	32,140 3)
13,220	14,640	14,340	14,620	13,220	13,820	14,920	15,560 3)
15,480	15,660	15,770	15,780	15,480	16,030	16,190	16,570 3)
45,370	49,490	47,680	47,450	45,370	45,590	45,950	47,120 3)
42,850	46,280	44,500	44,680	42,850	42,720	42,790	43,940 3)
2,520	3,210	3,180	2,770	2,520	2,870	3,160	3,170 3)
53,740	54,340	55,100	54,710	53,740	53,310	53,360	53,990 3)
29,140	30,840	30,780	30,090	29,140	29,550	30,900	31,590 3)
13,620	15,170	14,880	14,410	13,620	13,690	14,690	15,190 3)
15,510	15,670	15,890	15,670	15,510	15,860	16,210	16,400 3)
402.2	395.5	403.1	405.1	405.4	404.7	413.2	420.3
271.3	268.3	272.4	273.2	271.3	270.1	277.3	282.8
10.9	10.6	10.8	10.9	11.2	10.8	10.8	11.2
48.2	46.3	48.6	48.7	49.0	48.9	49.2	49.4
12.0	10.5	12.3	12.4	12.7	12.9	12.9	12.8

3) August.

SOURCES : Economic Indicators, Survey of Current Business.

Table III. WAGE

	UNIT OR BASE	1959
1. AVERAGE HOURLY GROSS EARNINGS IN ALL MANUFACTURING INDUSTRIES	dollars (last month of period)	2.27
2. CONSUMER PRICE INDEX (U.S. Department of Labour)	1947-49 = 100 (last month of period)	125.5
3. of which : Food	"	117.8
4. WHOLESALE PRICE INDEX	1947-49 = 100 (last month of period)	118.9
of which :		
5. Farm products	"	85.9
6. Commodities other than farm products and food	"	128.6

SOURCES : Survey of Current Business, Economic Indicators.

Table IV. MONEY

	UNIT OR BASE	1959
1. REDISCOUNT RATE (N.Y.F.R. Bank)	per cent (last month of period)	4.00
2. YIELD ON U.S. GOVERNMENT SECURITIES (3-5 years taxable issues)	per cent (last month of period)	4.95
DEMAND DEPOSITS AND CURRENCY (seasonally adjusted)		
3. Total	billions of dollars	140.2
4. Demand deposits adjusted	(end of period)	112.0
5. Currency outside banks	"	28.2
FEDERAL RESERVE BANKS CONDITION		
6. Reserve Bank credit outstanding	millions of dollars	28,771
of which :	(end of period)	
7. Discounts and advances	"	458
8. U.S. Government securities	"	26,648
9. Member-bank reserve balances with F.R. Banks	"	18,174
10. Member-bank free reserves (estimated) ..	"	- 592
ALL COMMERCIAL BANKS		
11. Total loans and investments	billions of dollars	190.3
12. Loans	(end of period)	110.8
13. Investments	"	79.4
14. of which : U.S. Government securities .	"	58.9

SOURCES : Survey of Current Business, Federal Reserve Bulletin.

AND PRICES

1960	1960				1961		
	1st QUARTER	2nd QUARTER	3rd QUARTER	4th QUARTER	1st QUARTER	2nd QUARTER	3rd QUARTER
2.32	2.29	2.29	2.30	2.32	2.32	2.35	2.34
127.5	125.7	126.5	126.8	127.5	127.5	127.6	128.3
121.4	117.7	120.3	120.2	121.4	121.2	120.9	121.1
119.5	120.0	119.5	119.2	119.5	119.9	118.2	118.8
88.7	90.4	89.0	87.7	88.7	89.9	85.1	87.2
127.9	128.6	128.2	127.9	127.9	128.2	127.4	127.5

AND BANKING

1960	1960				1961		
	1st QUARTER	2nd QUARTER	3rd QUARTER	4th QUARTER	1st QUARTER	2nd QUARTER	3rd QUARTER
3.00	4.00	3.50	3.00	3.00	3.00	3.00	3.00
3.51	4.24	4.06	3.50	3.51	3.43	3.70	3.77
139.2	139.5	138.0	138.5	139.2	140.4	140.9	142.2
111.0	111.1	109.9	110.3	111.0	112.1	112.7	113.8
28.2	28.4	28.1	28.2	28.2	28.3	28.2	28.4
29,359	27,103	27,869	28,402	29,359	27,787	28,496	29,213
33	756	258	181	33	115	36	28
27,384	25,264	26,523	27,024	27,384	26,688	27,253	27,799
17,081	17,773	17,941	17,942	17,081	16,158	16,716	17,105
+ 664	- 210	+ 41	+ 460	+ 664	+ 465	+ 809	+ 301
199.5	185.7	188.9	193.3	199.5	198.0	201.8	210.1
117.6	111.4	114.8	115.4	117.6	116.6	118.0	120.8
81.9	74.3	74.1	77.8	81.9	81.4	83.9	89.3
61.0	54.2	54.2	57.7	61.0	59.7	61.8	66.1

Table V. FEDERAL GOVERNMENT BUDGET
(Calendar

	1959
1. Net budget receipts [1]	72.7
2. Net budget expenditures [1]	79.8
3. of which: Major national security	46.3
4. Budget surplus (+) or deficit (-)	- 7.0

1) Excludes certain interfund transactions.
p) Preliminary.
SOURCES : Survey of Current Business, Economic Indicators.

Table VI. FOREIGN

	UNIT OR BASE	1959
1. Treasury gold stock	billions of dollars (end of period)	19.46
2. Short-term claims on foreigners	"	2.62
3. Short-term liabilities to foreign countries reported by banks in the United States	"	16.23
4. Volume of imports	1953 = 100	142
5. Volume of exports	"	104
6. Average value of imports	"	99
7. Average value of exports	"	106
8. Terms of Trade	"	107

1) 3rd quarter : 17.38.
p) Preliminary.
SOURCES : Federal Reserve Bulletin, General Statistics (O.E.E.C.).

RECEIPTS AND EXPENDITURES
years)

Billions of dollars

1960				1960	1961 p)		
1st QUARTER	2nd QUARTER	3rd QUARTER	4th QUARTER		1st QUARTER	2nd QUARTER	3rd QUARTER
21.7	22.5	18.6	16.8	79.5	19.9	22.3	18.3
18.7	18.6	19.8	20.4	77.6	19.7	21.6	20.7
11.2	11.3	11.4	11.8	45.7	11.8	12.5	11.3
+ 3.0	+ 3.9	- 1.2	- 3.7	+ 2.0	+ 0.2	+ 0.8	- 2.4

TRADE AND PAYMENTS

1960				1960	1961 p)		
1st QUARTER	2nd QUARTER	3rd QUARTER	4th QUARTER		1st QUARTER	2nd QUARTER	
19.41	19.32	18.68	17.77	17.77	17.39	17.55	
2.73	2.76	3.16	3.60	3.60	3.95	4.05	
16.38	17.12	17.64	17.37	17.37	17.22	17.51	
143	141	132	131	137	127	130	
114	126	115	125	120	121	117	
100	100	100	99	100	99	98	
108	107	108	108	108	109	111	
108	107	108	109	108	110	113	

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